

Customer Segmentation Marketing Proposal

 **Presented By:**
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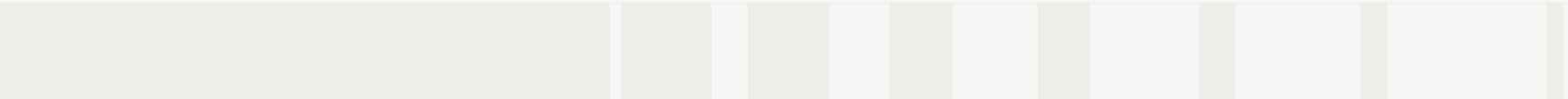
 **Presented To:**
Target Stores/GL/MIT





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Problem Statement

The problem we have been tasked to address is essentially:

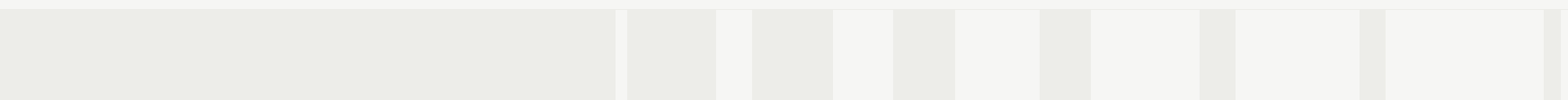
Target is unsure who their customers are, what their spending behaviour is and how they respond to marketing initiatives.

Project Overview

Our Mission

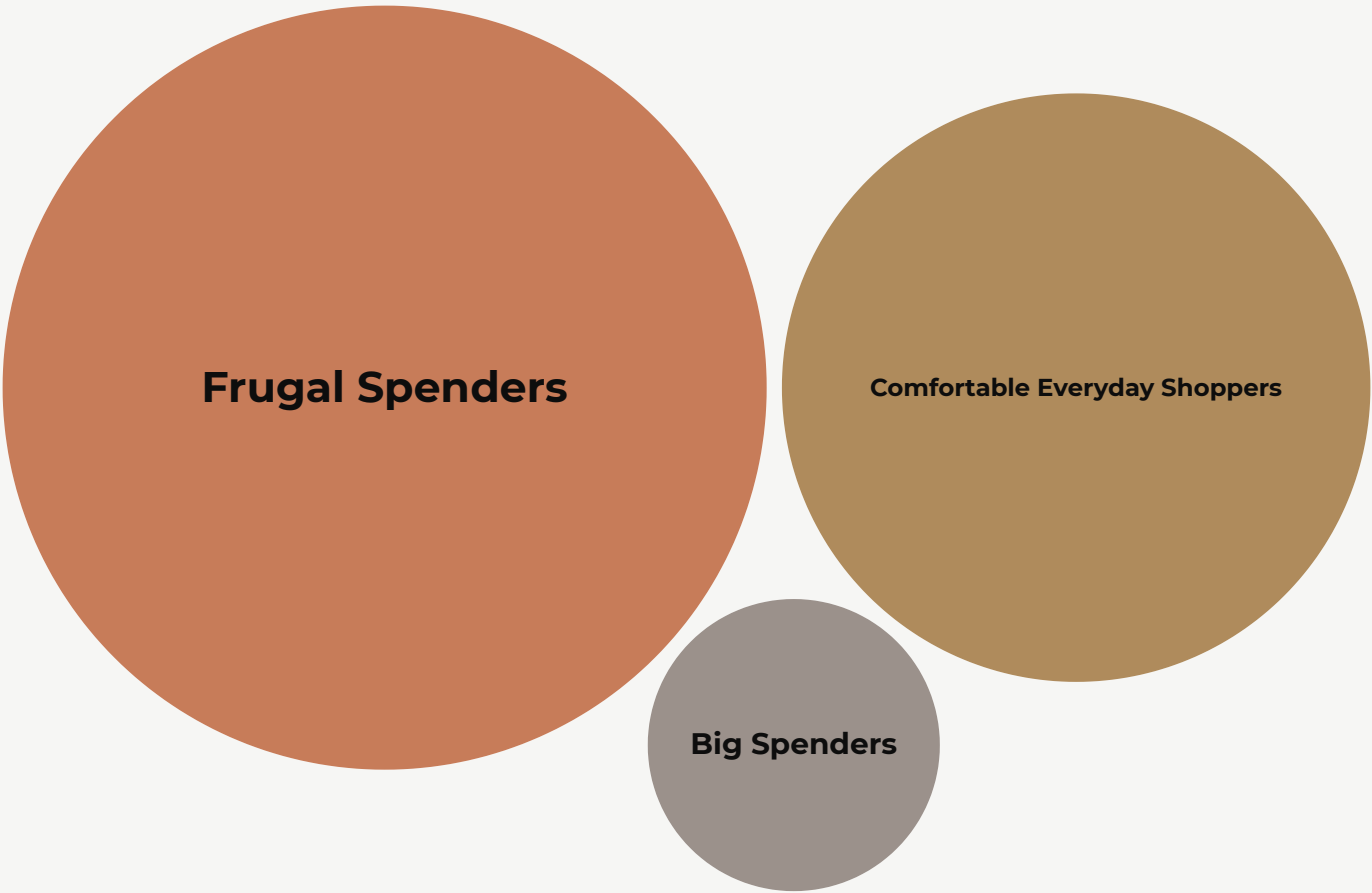
To identify distinct clusters in the customer data and bring these customer stories to life.

To give stakeholders the key insights required to effectively target their customers, to improve customer experience and ultimately increase sales.





Key Takeaways



Our key findings were the emergence of 3 main customer segments from the data, using agglomerative clustering techniques.

★ **Frugal Spenders**

Lowest spend per purchase. They spend roughly 2x on luxuries, they are the leaders in deals buying.

57.49%



★ **Comfortable Everyday Shoppers**

This group shops across all channels but prefer in store, , the second highest spend per purchase.

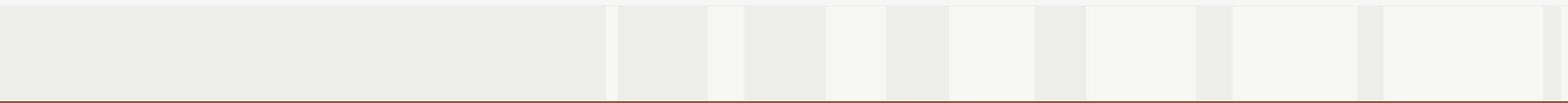
34.11%



★ **Big Spenders**

A group with the highest spend per purchase and respond to offers much more than deals.

8.40%





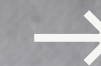
Our Approach





Exploring the Data (EDA)

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01 Demographic

\$50,000 Average Income

Have higher education **97.5%**

64% In a partnership (Married or Together)

Mean Birth Year **1968**

02 Behaviour

Customers who complained **<1%**

50 Average days since last purchase

Average spend on wine
(most bought product) **\$300**

\$60,000 Income for most deals bought

Total spending **increases** with income

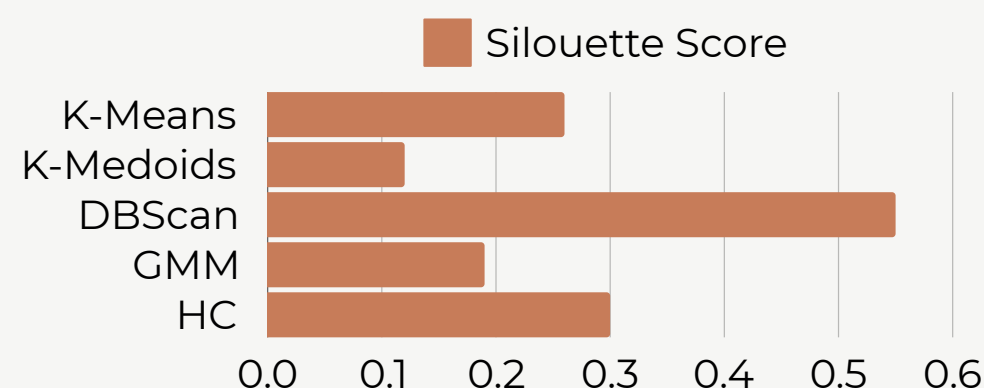
03 Data Quality

The data provided were of good quality, there were some extreme outliers in the income data - which were removed so as not to skew the analysis.

Some features were created to make analysis cleaner, such as summing essentials and luxuries into new columns.



Customer Segments (Clusters)



Preferred Clustering Algorithm

We used an industry standard metric, **silhouette score**, to select the best method for clustering, this is also **combined with** how defined the clusters are on **visual inspection**.

Hierarchical Clustering performed well on both silhouette score and well defined clusters. DBScan had the highest score but skewed clustering, so it was not selected.

★ Frugal Spenders

The largest segment, with 1245 customers.

Lowest spend per purchase but spend 2x on luxuries.

Prefer web and store shopping equally but visit web a lot more frequently than others - speaking to a low conversion rate online.

They are the leaders in deals buying.

★ Comfortable Everyday Shoppers

Second highest spend per purchase and second largest cluster after frugal spenders.

They spend 57% more on luxuries than essentials.

They shop across all channels but prefer in store, with the highest amount of store purchases. They sometimes buy deals and offers.

★ Big Spenders

A small but significant cluster of customers.

They have the highest spend per purchase and respond to offers much more than deals.

They have a roughly even spread across store, web and catalog purchases but lead the pack in catalog purchases - pointing to an older demographic.

(Analysis showed a fourth group but with similar qualities to this one, so for recommendations purposes, we consider them to fall in this cluster)





Recommendations for Implementation



Personalised Marketing Campaigns

Develop segment-specific marketing campaigns for Big Spenders, Frugal Spenders, and Comfortable Everyday Shoppers. Designed through a series of workshops.



01 Big Spenders

Big Spenders should receive luxury product promotions via catalog and personalised email campaigns. These promotions could be sent through direct mail catalogs, their preferred channel, emphasising exclusivity.

VIP events for big spenders could also secure loyalty and drive sales in luxury products.

03 Comfortable Everyday Shoppers

Comfortable Everyday Shoppers should be targeted with in-store campaigns and multi-channel promotions, like online discounts for in-store purchases.

Personalized product recommendations can also drive sales.

02 Frugal Spenders

Frugal Spenders should be targeted with deal oriented promotions primarily through web channels. These could be discounts, bundle offers, and flash sales. Price comparison tools could also help secure sales as long as prices are lower than competitors.

A loyalty points program could encourage loyalty and higher overall spend.

04 Cost/Benefit

Enhanced engagement and higher conversion rates, potentially **boosting sales by 10-15%.**

Costs for campaign development and targeted advertising estimated around **\$100,000.**



Sales Optimisation

✦ **Align sales strategies with segment's preferred channels.**

Improve in-store experiences for Comfortable Shoppers and optimise online convenience for Frugal Spenders. Tailor catalog content to higher spenders.

✦ **Conduct training for sales staff to better serve each segment.**

✦ **Implement a tiered loyalty program to encourage repeat purchases.**

✦ **Cost /Benefit**

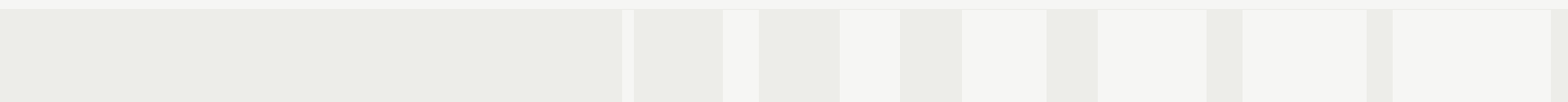
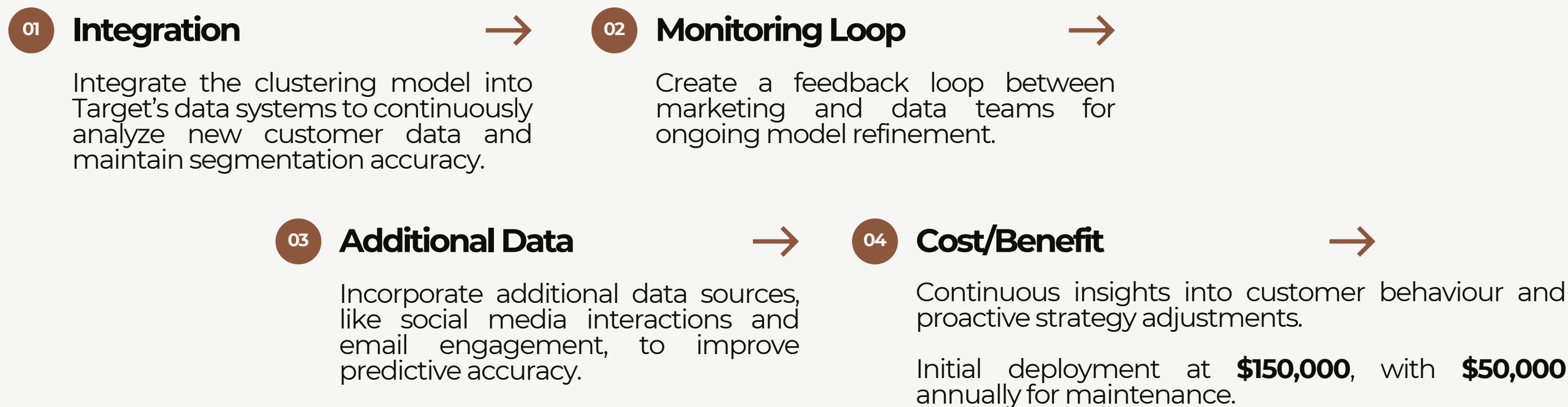
Increased average spend per purchase by **5-10%** and stronger customer loyalty.

Approximately **\$50,000** for staff training and **\$75,000** for loyalty program setup.





Model Deployment





Risks, Challenges and Future

★ Key Risk: Model Obsolescence

Model obsolescence if customer behaviours change rapidly, resulting in ineffective campaigns and wasted budget. Mitigate with regular model reviews and updates.

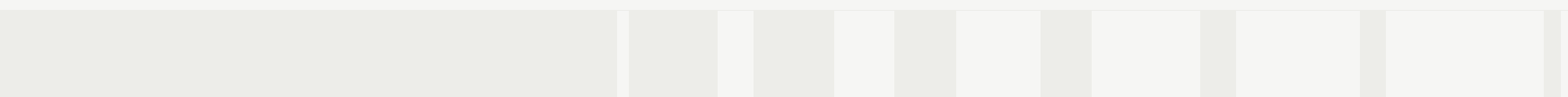


★ Further Analysis and Data Acquisition

Internal data teams could explore additional features that could further refine customer segmentation.

Some to consider would be capturing features such as search queries, device type, social media interaction, email engagement (clicks, opens etc) and interests.

Analyse external trends affecting customer behavior to adjust strategies. Seasonality etc.



Thanks

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